

EXCLUSIVE DISTRIBUTION AGREEMENT

This Agreement is entered into as of the Effective Date by and between the parties identified in the signature block below. The following terms govern the relationship.

1. Appointment

Manufacturer appoints Distributor as exclusive distributor in the territory.

2. Minimum Purchase

Distributor MUST purchase at least \$500,000 of product annually. Failure to meet the minimum allows Manufacturer to terminate AND charge a shortfall penalty equal to the unmet amount.

3. Exclusivity

Distributor may not carry, sell, or promote any competing or similar product during the term and for 3 years after.

4. Pricing

Manufacturer may change prices at any time with 5 days notice; Distributor must honor all accepted orders at the new price.

5. Termination

Manufacturer may terminate at any time for convenience with 15 days notice. Distributor may only terminate for uncured material breach after 90 days.

6. Indemnification

Distributor shall indemnify Manufacturer for all claims arising from the products, INCLUDING product defects caused by Manufacturer.

7. Limitation of Liability

Manufacturer's total liability is capped at the value of the single order giving rise to the claim.

8. Governing Law

Governed by the laws of the State of Illinois; exclusive venue in Manufacturer's home county.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

Party A

Party B